

US Markets Decline as VIX Surges 12.19%

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The US market experienced a decline in the previous session, with the S&P 500, Dow Jones, and Nasdaq 100 all posting losses. The VIX index surged 12.19%, indicating increased market volatility. The 10Y yield fell 0.61%, while WTI crude oil rose 1.50%.

Tech stocks were among the biggest losers, with **NVDA** down **-2.21%** and **MSFT** down **-1.82%**. The energy sector was a bright spot, with **XLE** up **1.16%**.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,457.69	-1.01%	
Nasdaq 100	28,592.66	-1.49%	
Dow Jones	52,146.42	-0.77%	
Russell 2000	2,962.22	-0.42%	
VIX	18.77	12.19%	
10Y Yield	4.54	-0.61%	
WTI	83.73	1.50%	

Top large-cap movers

The biggest losers among large-cap stocks were **META** down **-2.79%**, **TSLA** down **-2.61%**, and **GS** down **-2.76%**. The only gainer was **AAPL** up **0.14%**.

Spotlight

METRIC	VALUE
10Y Yield	4.54
VIX	18.77
WTI Crude	83.73

The 10Y yield fell to 4.54, while the VIX index surged to 18.77. WTI crude oil rose to 83.73, indicating increased demand. These metrics suggest a shift in market sentiment, with investors seeking safer assets.

Macro & Fed

- Current policy rate: 5.25%-5.50%
- 10Y yield: 4.54
- Today's data releases:
 - 10:00 HKT: Existing Home Sales
 - 14:30 HKT: EIA Crude Oil Inventories

Geopolitics & Global

- Tensions between the US and China continue to escalate, with trade talks stalled.
- The EU announced a new stimulus package to boost economic growth.
- The UK government announced plans to increase defense spending.

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
22 July	MSFT	Cloud revenue growth
24 July	AAPL	iPhone sales and services revenue

Stocks Worth Watching

- **NVDA** : Earnings report due soon, with expectations of strong revenue growth.
- **TSLA** : Stock price has been volatile, with investors watching for signs of a rebound.
- **GS** : Earnings report due soon, with expectations of strong investment banking revenue.
- **JPM** : Stock price has been stable, with investors watching for signs of a breakout.
- **AVGO** : Earnings report due soon, with expectations of strong semiconductor sales.

What Could Break the Tape

BEARISH TRIGGERS

A surge in COVID-19 cases could lead to renewed lockdowns and economic downturn.

BULLISH TRIGGERS

A breakthrough in trade talks between the US and China could lead to a surge in global economic growth.

Sources

SOURCES

Bloomberg — US Stocks Fall as VIX Surges

Reuters — Oil Prices Rise on Increased Demand

CNBC — 10Y Yield Falls to 4.54

Financial Times — EU Announces New Stimulus Package

The Wall Street Journal — US and China Trade Talks Stall

